

The Directors' Report

1. This report gives investors insights into the company.
2. It enunciates the opinion of the directors on the economy, the industry and the political situation.
3. It explains the performance of the company, its plans for diversification, modernization and expansion. It discusses the profits earned and states the dividends proposed.
4. The report, if read properly, can give the investor a good grasp of the workings of the company

The Auditor's Report

1. The auditor represents shareholders and reports to them on the stewardship of the directors and whether the accounts presented do present a true and fair view of the company.
2. Auditors will comment on any changes made in accounting principles and the effect of these changes on the results.
3. Auditors will also comment on any action or method of accounting they do not agree with.
4. Investors must read the auditor's report in detail and in depth as the results can materially change if adjustments are made based on the notes or comments in the auditors report.

Financial Statements

1. Financial statements of a company in an annual report consist of the balance sheet and the profit and loss account. These detail the financial health and performance of the company.
2. The balance sheet details all the assets and liabilities a company has on a particular date. Assets are those that the company owns such as fixed assets (buildings, cars etc.), investments and current assets (stocks, debtors and cash). Liabilities are those that the company owes (trade